

IPO Prospectus Analysis

company1_prospectus.pdf

Document:	company1_prospectus.pdf
Processed:	July 27, 2026 at 12:33 AM
Pipeline:	Multi-Model
Total Sections:	32
Filter Model:	tinyllama
Detector Model:	gemma:2b
Classifier Model:	phi3:mini
Validator Model:	qwen2:1.5b

Classification Summary

Metric	Value
Total Sections	32
Average Confidence	91.92%
Unique Categories	10

Category Breakdown

Category	Count	Percentage
Issue Information	9	28.1%
Business Description	6	18.8%
Risk Factors	5	15.6%
Legal Information	3	9.4%
Unknown	3	9.4%
Company Overview	2	6.2%
Industry Overview	1	3.1%
Objects of the Issue	1	3.1%
Financial Statements	1	3.1%
Management Team	1	3.1%

Table of Contents

#	Section Title	Category	Pages	Confidence
13	1. Summary of the primary business	Business Description	4-4	95%
15	b. Industries Served and Typical Customers	Business Description	4-4	95%
16	c. Segment Reporting and Revenue Contribution	Business Description	4-5	95%
18	f. Key Facilities	Business Description	5-5	95%
20	Strengths	Business Description	5-6	95%
21	Strategies	Business Description	6-6	95%
1	OUR COMPANY IS A PROFESSIONALLY MANAGED COMPANY AND DOES NOT...	Company Overview	1-1	100%
23	3. Promoters	Company Overview	6-6	85%
26	6. Summary of Restated Consolidated Information	Financial Statements	8-9	95%
22	2. Summary of the Industry (Source: Redseer Report)	Industry Overview	6-6	90%
2	DETAILS OF THE OFFER TO THE PUBLIC	Issue Information	1-1	95%
3	DETAILS OF THE OFFER FOR SALE	Issue Information	1-2	95%
8	REGISTRAR TO THE OFFER	Issue Information	3-3	95%
9	NAME OF THE REGISTRAR	Issue Information	3-3	90%
10	BID/ OFFER PERIOD	Issue Information	3-3	95%
11	BID/OFFER CLOSING ON (2)(3)	Issue Information	3-3	95%
12	TELEPHONE AND E-MAIL	Issue Information	3-4	95%
25	5. Pre-Offer and Post-Offer shareholding of top 10 Shareholders	Issue Information	7-8	46%
29	9. Details of weighted average cost of acquisition of Equity...	Issue Information	11-12	95%
6	COMPANY'S AND SELLING SHAREHOLDERS' ABSOLUTE RESPONSIBILITY	Legal Information	2-3	95%
7	BOOK RUNNING LEAD MANAGERS	Legal Information	3-3	95%
32	12. Summary table of outstanding litigations	Legal Information	13-14	95%
30	10. Board of Directors and Key Managerial Personnel	Management Team	12-13	95%
24	4. Objects of the Offer	Objects of the Issue	6-7	95%
4	RISKS IN RELATION TO THE FIRST OFFER	Risk Factors	2-2	90%

5	GENERAL RISK	Risk Factors	2-2	100%
17	e. Revenue Concentration Among Top 5 Customers	Risk Factors	5-5	95%
28	8. Risk Factors	Risk Factors	10-11	95%
31	11. Auditor Qualifications	Risk Factors	13-13	95%
14	a. Business Overview - Products and Services	Unknown	4-4	100%
19	g. Business Strengths and Strategies	Unknown	5-5	100%
27	7. Summary of Key Performance Indicators	Unknown	9-10	50%

Business Description

6 section(s)

1. 1. Summary of the primary business

Pages: 4-4 | Confidence: 95% | Level: 1

1. Summary of the primary business

2. b. Industries Served and Typical Customers

Pages: 4-4 | Confidence: 95% | Level: 1

b. Industries Served and Typical Customers We serve the fitness industry in India and offer fitness services and active lifestyle products through our platform that comprises an integrated app (the ' Cult.fit app '), website (the ' Cult.fit website ') and other online and offline channels including exclusive branded outlets (' EBOs ') and offline retail channels in India. As of March 31, 2026, 2025 and 2024, we served 987,020 members, 833,032 members and 690,657 members, respectively, through our network of 594,583 and 486 fitness centers that were integrated with the Cult.fit app, respectively. As of March 31, 2026, our products were available in 29 EBOs across four cities and other offline channels in India.

3. c. Segment Reporting and Revenue Contribution

Pages: 4-5 | Confidence: 95% | Level: 1

c. Segment Reporting and Revenue Contribution We have two reportable business segments, as below: Services business includes Fitness segment. It pertains to business of maintaining and operating fitness centres which offer a mix of workouts from yoga to boxing and other sports activities. Products business includes business of fitness and related products to customers. During the year ended March 31, 2026, we realigned our internal reporting system to focus on revised business verticals for tracking our performance and key decisions. This required us to realign our operating segment disclosures with our internal reporting structure. Accordingly, we have restated the segment information for the previous financial years ended March 31, 2025 and March 31, 2024 in accordance with the reporting requirements of Ind AS 108. The table below sets forth details of our segment-wise revenue from operations and loss

before tax: We launched our operations in Bengaluru (Karnataka) in 2016 and as of Ma...

4. f. Key Facilities

Pages: 5-5 | Confidence: 95% | Level: 1

f. Key Facilities As of March 31, 2026, 2025 and 2024, we had a network of 708, 690 and 588 fitness centers, respectively, of which 594, 583 and 486 fitness centers were integrated with the Cult.fit app. As per the Redseer Report, the top four cities in India (i.e., Delhi-NCR, Mumbai Metropolitan Region, Bengaluru and Hyderabad) account for 40% to 42% of India's overall fitness services market. As of March 31, 2026, we had 563 fitness centers in these top four cities, that contributed 90.44% of our revenue from fitness services in fiscal year 2026.

5. Strengths

Pages: 5-6 | Confidence: 95% | Level: 1

Strengths Data and insight-led product development in fitness products Deep omnichannel distribution of fitness products Strong synergies across services and products Well recognized Cult.fit brand synonymous with fitness with strong brand affinity Scalable and resilient business model Visionary founder and management team

6. Strategies

Pages: 6-6 | Confidence: 95% | Level: 1

Strategies Deepen our geographic and member footprint Pursue franchise-led growth Broaden the range of fitness products and add new categories Localising our supply chain Expand distribution of our products through omnichannel strategy Further strengthen the Cult brand and community Continue to invest in our technology platform For further and complete information, see ' Our Business ' beginning on page 249 of the Draft Red Herring Prospectus.

Company Overview

2 section(s)

1. OUR COMPANY IS A PROFESSIONALLY MANAGED COMPANY AND DOES NOT HAVE AN IDENTIFIABLE PROMOTER

Pages: 1-1 | Confidence: 100% | Level: 1

OUR COMPANY IS A PROFESSIONALLY MANAGED COMPANY AND DOES NOT HAVE AN IDENTIFIABLE PROMOTER

2. 3. Promoters

Pages: 6-6 | Confidence: 85% | Level: 1

3. Promoters Our Company is a professionally managed company and does not have an identifiable promoter in terms of the SEBI ICDR Regulations and the Companies Act, 2013.

Financial Statements

1 section(s)

1. 6. Summary of Restated Consolidated Information

Pages: 8-9 | Confidence: 95% | Level: 1

6. Summary of Restated Consolidated Information The following details are derived from the Restated Consolidated Financial Information: (■ in million, unless otherwise specified) 1). Adjusted EBITDA is calculated by adding Total tax expense / (credit), Share of loss of associates, Exceptional items (include impairment provision on Goodwill, Intangible assets and Investments, impact of the new labour code and the impact of loss of input tax credit), Finance costs, Depreciation and amortisation expense, Total share-based payment expense and fair value loss on financial liabilities measured at FVTPL to loss for the year. For reconciliation of the nonGAAP measures, see 'Management's Discussion and Analysis of Financial Condition and Results of Operations -NonGAAP Measures' on page 469 of the Draft Red Herring Prospectus. 2). The Basic and diluted loss per Equity share (INR) is computed by dividing the Loss for the year, attributable to the owners of the Company by the Weighted average num...

Industry Overview

1 section(s)

1. 2. Summary of the Industry (Source: Redseer Report)

Pages: 6-6 | Confidence: 90% | Level: 1

2. Summary of the Industry (Source: Redseer Report) India's fitness and active lifestyle services market remains at a relatively early stage of development compared with major global markets. Similarly, the fitness and active lifestyle products market is at a developing stage relative to major global markets, with per capita spend on fitness equipment, apparel and footwear remaining materially lower than in more mature economies. The fitness and active lifestyle services market in India is estimated at approximately ■256 billion (approximately U.S.\$ 2.9 billion) in calendar year 2025 and is projected to expand at a CAGR of 14-16% to ■487531 billion (U.S.\$ 5.6-6.1 billion) by calendar year 2030. On the other hand, the fitness and active lifestyle products market in India is estimated at approximately ■1,157.6 billion (approximately U.S.\$ 13.3 billion) in calendar year 2025 and is projected to expand at a CAGR of 14-16% to ■2,175-2,349 billion (U.S.\$ 25-27 billion) by calendar year 2030....

Issue Information

9 section(s)

1. DETAILS OF THE OFFER TO THE PUBLIC

Pages: 1-1 | Confidence: 95% | Level: 1

DETAILS OF THE OFFER TO THE PUBLIC

2. DETAILS OF THE OFFER FOR SALE

Pages: 1-2 | Confidence: 95% | Level: 1

DETAILS OF THE OFFER FOR SALE # As certified by Manian & Rao, Chartered Accountants (FRN No. 001983S), by way of their certificate dated July 6, 2026. * Calculated on the basis of total Equity Shares held and such number of Equity Shares on a fully diluted basis, including those which will result upon conversion of 237,622,745 outstanding Preference Shares prior to the filing of the Red Herring Prospectus. For further details in relation to conversion of the outstanding Preference Shares, see 'Capital Structure Terms of conversion of the Preference Shares' on page 143 of the Draft Red Herring Prospectus. & Certain portion of the Offered Shares of the Selling Shareholders includes Equity Shares that will be issued upon conversion of outstanding Preference Shares into Equity Shares, prior to the filing of the Red Herring Prospectus, as applicable. For further details in relation to conversion of the outstanding Preference Shares, see 'Capital Structure Terms of conversion of the Preferen...

3. REGISTRAR TO THE OFFER

Pages: 3-3 | Confidence: 95% | Level: 1

REGISTRAR TO THE OFFER

4. NAME OF THE REGISTRAR

Pages: 3-3 | Confidence: 90% | Level: 1

NAME OF THE REGISTRAR

5. BID/ OFFER PERIOD

Pages: 3-3 | Confidence: 95% | Level: 1

BID/ OFFER PERIOD

6. BID/OFFER CLOSES ON (2)(3)

Pages: 3-3 | Confidence: 95% | Level: 1

BID/OFFER CLOSES ON (2)(3)

7. TELEPHONE AND E-MAIL

Pages: 3-4 | Confidence: 95% | Level: 1

TELEPHONE AND E-MAIL Tel: +91 2222/18003094001 Email: cultfit.ipo@kfintech.com [●]
[●] [●] (1) (1) (2)(3) Our Company, in consultation with the BRLMs and each of the Selling Shareholders, may consider participation by Anchor Investors in accordance with the SEBI ICDR Regulations. The Anchor Investor Bid/ Offer Period shall be one Working Day prior to the Bid/ Offer Opening Date. Our Company, in consultation with the BRLMs and each of the Selling Shareholders, may consider closing the Bid/ Offer Period for QIBs one Working Day prior to the Bid/ Offer Closing Date in accordance with the SEBI ICDR Regulations. The UPI mandate end time and date shall be at 5:00 p.m. on Bid/Offer Closing Date. ^ Our Company, in consultation with the BRLMs, may consider a Pre-IPO Placement of Specified Securities aggregating up to ■ 1,900 .00 million, as may be permitted under the applicable law, at its discretion, prior to filing of the Red Herring Prospectus with the RoC. The Pre-IPO Placement, if undertak...

8. 5. Pre-Offer and Post-Offer shareholding of top 10 Shareholders of our Company as at date of the Draft Red Herring Prospectus

Pages: 7-8 | Confidence: 46% | Level: 1

5. Pre-Offer and Post-Offer shareholding of top 10 Shareholders of our Company as at date of the Draft Red Herring Prospectus The aggregate pre-Offer and post-Offer shareholding of top 10 Shareholders of our Company, as on the date of the Draft Red Herring Prospectus is set forth below: @ Based on the Offer Price of ■[●] and subject to finalisation of the Basis of Allotment. To be filled in at Prospectus stage. On the date of filing the Prospectus, details in the table above shall be updated for all options under the ESOP Scheme that have been exercised until the date of Prospectus and any transfers of Equity Shares by existing shareholders of the Company (as on the date of the Red Herring Prospectus) after the pre-issue and Price Band advertisement until the date of Prospectus. For further details, see ' Capital Structure ' beginning on page 104 of the Draft Red Herring Prospectus .

9. 9. Details of weighted average cost of acquisition of Equity Shares and Preference Shares of our Selling Shareholders

Pages: 11-12 | Confidence: 95% | Level: 1

9. Details of weighted average cost of acquisition of Equity Shares and Preference Shares of our Selling Shareholders The weighted average cost of acquisition of Equity Shares and Preference Shares of our Selling Shareholders, are as follows: * For the purpose of computing the Weighted Average Cost of Acquisition (WACA), the consideration attributable to the Shares acquired pursuant to the Composite Scheme of Arrangement amongst Cultfit Healthcare Private Limited, Curefit Services Private Limited, the Company, and their respective shareholders and creditors approved by the National Company Law Tribunal vide order dated March 27, 2026 has been assumed to be Nil. ** As certified by Manian & Rao, Chartered Accountants (FRN: 001983S), by way of their certificate dated July 6, 2026. For further details, see ' Capital Structure ' on page 104 of the Draft Red Herring Prospectus .

Legal Information

3 section(s)

1. COMPANY'S AND SELLING SHAREHOLDERS' ABSOLUTE RESPONSIBILITY

Pages: 2-3 | Confidence: 95% | Level: 1

COMPANY'S AND SELLING SHAREHOLDERS' ABSOLUTE RESPONSIBILITY Our Company, having made all reasonable inquiries, accepts responsibility for and confirms that the Draft Red Herring Prospectus contains all information with regard to our Company and the Offer, which is material in the context of the Offer, that the information contained in the Draft Red Herring Prospectus is true and correct in all material aspects and is not misleading in any material respect, that the opinions and intentions expressed herein are honestly held and that there are no other facts, the omission of which makes the Draft Red Herring Prospectus as a whole or any of such information or the expression of any such opinions or intentions misleading in any material respect. The Equity Shares that will be offered through the Red Herring Prospectus are proposed to be listed on the Stock Exchanges being BSE Limited ('BSE ') and National Stock Exchange of India Limited ('NSE ', and together with BSE, the 'Stock Exchang...

2. BOOK RUNNING LEAD MANAGERS

Pages: 3-3 | Confidence: 95% | Level: 1

BOOK RUNNING LEAD MANAGERS

3. 12. Summary table of outstanding litigations

Pages: 13-14 | Confidence: 95% | Level: 1

12. Summary table of outstanding litigations A summary of outstanding litigation proceedings involving our Company, Subsidiaries, Directors, Key Managerial Personnel and Senior Management in accordance with the SEBI ICDR Regulations and the Materiality Policy, as on the date of the Draft Red Herring Prospectus, is provided below: (1) To the extent quantifiable.

* They are the same subject matter. The Equity Shares offered in the Offer have not been and

will not be registered under the U.S. Securities Act of 1933, as amended (the 'U.S. Securities Act') or any other applicable law of the United States and, unless so registered, may not be offered or sold within the United States, except pursuant to an exemption from, or in a transaction not subject to, the registration requirements of the U.S. Securities Act and applicable state securities laws. Accordingly, the Equity Shares are being offered and sold (i) within the United States only to persons reasonably believed to be 'qualified inst...

Management Team

1 section(s)

1. 10. Board of Directors and Key Managerial Personnel

Pages: 12-13 | Confidence: 95% | Level: 1

10. Board of Directors and Key Managerial Personnel The names and designations of members of the Board of Directors and Key Managerial Personnel are set forth below: For further details, see ' Our Management ' beginning on page 322 of the Draft Red Herring Prospectus .

Objects of the Issue

1 section(s)

1. 4. Objects of the Offer

Pages: 6-7 | Confidence: 95% | Level: 1

4. Objects of the Offer The Net Proceeds of the Fresh Issue shall be utilised in the manner set forth in the table below: Includes the proceeds, if any, received pursuant to the Pre-IPO Placement. Our Company, in consultation with the BRLMs, may consider a PreIPO Placement of Specified Securities aggregating up to ■1,900.00 million, as may be permitted under the applicable law, at its discretion, prior to filing of the Red Herring Prospectus with the RoC. The Pre-IPO Placement, if undertaken, will be at a price to be decided by our Company, in consultation with the BRLMs. If the Pre-IPO Placement is completed, the amount raised pursuant to the Pre-IPO Placement will be reduced from the Fresh Issue, subject to compliance with Rule 19(2)(b) of the Securities Contracts (Regulation) Rules, 1957, as amended. The Pre-IPO Placement, if undertaken, shall not exceed 20% of the size of the Fresh Issue. Prior to the completion of the Offer, our Company shall appropriately intimate the subscribers...

Risk Factors

5 section(s)

1. RISKS IN RELATION TO THE FIRST OFFER

Pages: 2-2 | Confidence: 90% | Level: 1

RISKS IN RELATION TO THE FIRST OFFER This being the first public issue of the Equity Share of our Company, there has been no formal market for the Equity Shares. The face value of each Equity Share is ■ 1 each. The Floor Price, Cap Price and Offer Price as determined by our Company, in consultation with the book running lead managers to the Offer (' BRLMs '), and on the basis of assessment of market demand for the Equity Shares by way of the book building process, in accordance with the SEBI ICDR Regulations and as stated in ' Basis for Offer Price ' beginning on page 190 of the Draft Red Herring Prospectus should not be considered to be indicative of the market price of the Equity Shares after the Equity Shares are listed. No assurance can be given regarding an active and/or sustained trading in the Equity Shares nor regarding the price at which the Equity Shares will be traded after listing.

2. GENERAL RISK

Pages: 2-2 | Confidence: 100% | Level: 1

GENERAL RISK Investments in equity and equity-related securities involve a degree of risk and investors should not invest any funds in the Offer unless they can afford to take the risk of losing their entire investment. Investors are advised to read the risk factors carefully before taking an investment decision in the Offer. For taking an investment decision, investors must rely on their own examination of our Company and the Offer, including the risks involved. The Equity Shares offered in the Offer have not been recommended or approved by the Securities and Exchange Board of India (' SEBI '), nor does SEBI guarantee the accuracy or adequacy of the contents of the Draft Red Herring Prospectus. Specific attention of the investors is invited to ' Risk Factors ' on page 21 of the Draft Red Herring Prospectus.

3. e. Revenue Concentration Among Top 5 Customers

Pages: 5-5 | Confidence: 95% | Level: 1

e. Revenue Concentration Among Top 5 Customers Not Applicable.

4. 8. Risk Factors

Pages: 10-11 | Confidence: 95% | Level: 1

8. Risk Factors The following are the top 10 internal risk factors as disclosed in the Draft Red Herring Prospectus: Acquiring new consumers and retaining existing ones are critical for our growth and success. If we fail to attract new consumers or experience a decline in engagement with our existing consumers, our business, financial condition, cash flows and results of operations may be adversely impacted. Our brands are critical for our growth and success. Any negative publicity or unfavourable media coverage of our brands could materially and adversely affect our reputation, business, results of operations, prospects and cash flows. We rely on the usage of intellectual property, including that belonging to third parties, for our business operations. If we inadvertently infringe on the intellectual property rights of others, our business and results of operations may be adversely affected. We import some of our fitness products from suppliers based outside India, including the Peopl...

5. 11. Auditor Qualifications

Pages: 13-13 | Confidence: 95% | Level: 1

11. Auditor Qualifications There are no qualifications of the Statutory Auditor which have not been given effect to in the Restated Consolidated Financial Information. Further, there are certain CARO and audit trail matters which do not require any adjustment in Restated Consolidated Financial Information. For further details, see ' Risk Factor 46 - Our Statutory Auditor's report on our restated consolidated financial information included certain remarks relating to back up of books of account and maintenance of audit trail for fiscal years 2026, 2025 and 2024. There can be no assurance that future audit reports will not include remarks from our auditors, which may have an adverse effect on our business, financial condition, cash flows and results of operations' beginning on page 51 of the Draft Red Herring Prospectus .

Unknown

3 section(s)

1. a. Business Overview - Products and Services

Pages: 4-4 | Confidence: 100% | Level: 1

a. Business Overview - Products and Services We are a fitness and active lifestyle platform in India and offer fitness services and active lifestyle products through our integrated app (the 'Cult.fit app'), website (the 'Cult.fit website') and other online and offline channels. Our fitness service offerings include at-center and at-home fitness services, and comprise trainer-led group classes, full-service gyms and at-home online workouts under one integrated platform. Our active lifestyle product offerings comprise a wide range of fitness equipment (including indoor and outdoor equipment), recovery products (massage chairs, massagers and others) and fitness accessories. We also design and sell activewear products such as apparel and footwear, engineered for both endurance and everyday activity.

2. g. Business Strengths and Strategies

Pages: 5-5 | Confidence: 100% | Level: 1

g. Business Strengths and Strategies

3. 7. Summary of Key Performance Indicators

Pages: 9-10 | Confidence: 50% | Level: 1

7. Summary of Key Performance Indicators Details of the key performance indicators as at and for Financial Years ended March 31, 2026, March 31, 2025 and March 31, 2024, are set forth below: (■ in million, except as otherwise stated) For details of our other operating metrics disclosed elsewhere in the Draft Red Herring Prospectus, see 'Our Business' and 'Management's Discussion and Analysis of Financial Condition and Results of Operations' at pages 249 and 456 of the Draft Red Herring Prospectus, respectively.